UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

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Interconnection of Large Loads	)	**Docket No. RM26-4-000**
to the Interstate Transmission System	)	
	)	
	)	

INITIAL COMMENTS OF THE ENVIRONMENTAL LAW AND POLICY CENTER

The Environmental Law & Policy Center ("ELPC") submits initial comments on the U.S. Secretary of Energy's advance notice of proposed rulemaking on large load interconnection (the "ANOPR").[1]

Hyperscale data centers are placing unprecedented strains on our electricity system and on traditional interconnection and cost allocation practices. Across the country, data centers with loads totaling thousands of megawatts have requested to connect to the grid. Regions that have not had meaningful load growth in two decades are now facing projections of 5-10% growth every year for the foreseeable future. The consequences are higher prices for consumers and regulators at every level facing significant questions as to how to meet electricity demand growth while ensuring affordability and reliability .

The Department of Energy's (DOE) proposal to "standardize interconnection procedures and agreements" provides a potential solution to one aspect of the data center problem.[2] DOE's proposed ANOPR seeks to align the process for interconnecting large loads to the high-voltage

[1] Interconnection of Large Loads to the Interstate Transmission Sys., Advanced Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 27, 2025) (the "ANOPR").

[2] ANOPR at ¶ 12.

transmission system with the process for the interconnection of large generators. Among other measures, DOE's proposal would require grid operators to study the grid effects of large load interconnection applicants alongside new generators and require large load applicants to pay for their transmission network upgrades.

While DOE proposes a response to one part of the problem, state public utilities commissions throughout the country have been hard at work on many others. The California Public Utilities Commission, the Indiana Utility Regulatory Commission, the Corporation Commission of Kansas, the Michigan Public Service Commission, and the Public Utilities Commission of Ohio among others have all recently issued orders addressing the impact of large load additions on retail customers and the grid.[3] Numerous other states have open dockets to consider large load tariffs.[4]

In these comments, ELPC shares our perspective as a party in several of these state proceedings. We encourage the Commission to avoid interfering with the efforts of state commissions to protect retail customers and the grid from the impacts of large load additions. To that end, we provide testimony we submitted to the Illinois Commerce Commission describing some of the reliability and cost problems that large load additions can create, along with some potential solutions that states can implement using their traditional regulatory authority over retail rates. At the same time, we recognize that this Commission has an important role to play as

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[3] *See Pacific Gas & Electric Company*, CPUC Decision No. 25-07-039, at 44 (July 24, 2025), *available at* https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M574/K875/574875643.PDF; *Evergy Kansas Metro, Inc.*, Docket No. 25-EKME-315-TAR, Order Approving Settlement Agreement (Nov. 6, 2025), *available at* https://estar.kcc.ks.gov/estar/ViewFile.aspx/25-315_Settlement_Agreement.pdf?Id=f65c8223-c3d3-47a7-b83b-877f318cf355; *Ohio Power Company*, Docket No. 24-508-EL-ATA, Opinion and Order (July 9, 2025), *available at* https://dis.puc.state.oh.us/ViewImage.aspx?CMID=A1001001A25G09B43531I00509; *Consumers Energy Company*, Docket No. U-21859, Order (Mich. Pub. Serv. Comm'n Nov. 6, 2025), *available at* https://mi-psc.my.site.com/sfc/servlet.shepherd/version/download/068cs00001Nipc9AAB. *See also* Indiana Utilities Regulatory Commission, Docket No. 46097; Michigan Public Service Commission Docket No. U-21859.

[4] *See, e.g.,* Illinois Commerce Commission Docket Nos. 25.0677 & 25-0679; Public Service Commission of Wisconsin, Docket No. 6630-TE-113; Michigan Public Service Commission, Docket No. U-21990; Minnesota Public Utilities Commission, Docket No. 25-289.

regulator of the interstate transmission system and wholesale rates. We encourage the Commission to follow a "cooperative federalism" model that addresses problems within those spheres of jurisdiction without deterring state action.

I. State Commissions are Confronting Large Load Interconnections

Under Section of 201 of the Federal Power Act, which says that "[f]ederal regulation . . . extend[s] only to those matters which are not subject to regulation by the States," states have jurisdiction over retail utilities and their customers.[5] When large load customers seek retail service, they accordingly do so pursuant to a state-jurisdictional tariff. In numerous recent or ongoing proceedings, state commissions have contemplated changes to retail tariffs to account for the risks that large loads create for the grid and other customers.

Take, for example, the Illinois Commerce Commission's consideration of Commonwealth Edison's (ComEd) proposed "changes to new service requests for large demand project applicants or customers."[6] In that filing, ComEd proposes tariff revisions to "help ensure that new service requests of Large Demand Project Applicants and Customers neither harm, nor unjustly shift costs to, other customers." ComEd's proposal focuses on the engineering studies that large load interconnections require and the potential for "stranded costs" at both the distribution and transmission level when large loads withdraw their interconnection requests.

Other parties in that proceeding raised additional issues that ComEd's filing did not directly address. For example, ELPC witness Kyle Thomas provided testimony highlighting the unique reliability challenges that large loads create for the grid.[7] Mr. Thomas described "load loss events

[5] 16 U.S.C. § 824. *See also Tri-State Generation and Transmission Association, Inc.*, 193 FERC ¶ 61,070, at ¶ 50 (2025) (noting that the regulation of the terms and conditions of retail service "is a job for the States alone.")
[6] Illinois Commerce Commission, Docket No. 25-0677.
[7] Mr. Thomas's testimony is attached to these comments as exhibit A. It is also available at https://icc.illinois.gov/docket/P2025-0677/documents/371138/files/650729.pdf.

in Virginia and Texas," in which large load customers unexpectedly tripped offline—an incident that "was not modeled or captured in any studies."[8] Mr. Thomas also explained that large loads can create a resource adequacy problem, noting that "the system may face shortages during peak conditions" if large loads come online faster than generation.[9] Mr. Thomas provided an array of recommendations to improve ComEd's interconnection process and protect against reliability risks. His testimony is attached to these comments as Exhibit A.

Similarly, several parties identified ratepayer issues that ComEd's proposal would have left unresolved. The Illinois Attorney General and non-governmental organizations including ELPC provided testimony recommending that ComEd do more to protect ratepayers against unjust cost shifts resulting from the socialization of high-voltage interconnection facilities.[10] ELPC witness Mike Jacobs explained that large load customers often require new lines and substations at voltages of 138kV or higher.[11] Mr. Jacobs explained that although such high-voltage connection facilities are essentially line extensions that the utility designs to serve a specific customer, the utilities socialize their costs by placing them into the transmission rate base.[12] Mr. Jacobs provided his analysis showing that such connection facilities added up to $4.1 billion across PJM in 2024 alone, with costs continuing to increase in 2025 and beyond.[13] Mr. Jacobs testimony is attached as Exhibit B.

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[8] *See* Exhibit A, Testimony of Kyle Thomas to the Illinois Commerce Commission, at 7-8.
[9] *Id.* at 8.
[10] Mr. Jacobs is an analyst at the Union of Concerned Scientists. His testimony is attached to these comments as Exhibit B. It is also available at https://icc.illinois.gov/docket/P2025-0677/documents/371138/files/650739.pdf.
[11] Exhibit B, Testimony of Mike Jacobs to the Illinois Commerce Commission, at 5.
[12] *Id.* at 6-7.
[13] Mike Jacobs, "Data Centers are Already Increasing Your Energy Bills. We Have the Receipts," Union of Concerned Scientists (Sept. 25, 2025), *available at* https://blog.ucs.org/mike-jacobs/data-centers-are-already-increasing-your-energy-bills/; *see also* UCS Policy Brief, *Connection Costs: Loophole Costs Customers Over $4 Billion to Connect Data Centers to Power Grid,* Union of Concerned Scientists (Sep. 2025), *available at https://www.ucs.org/sites/default/files/2025-09/PJM%20Data%20Center%20Issue%20Brief%20-%20Sep%202025.pdf*.

The Illinois Commerce Commission is currently considering ComEd's proposal and will issue a decision in the next few months. Other recent decisions from state commissions tackle similar issues. For example, the California Public Utilities Commission recently issued an interim order "requir[ing] new transmission-level customers seeking retail services to be responsible for the initial costs of all transmission facilities, rather than those costs being borne by ratepayers."[14] The CPUC decision requires large loads to pay directly for new facilities that PG&E builds to extend retail service to the customer while requiring the new customer to provide a loan for upgrades to the existing transmission network. Similarly, the State Corporation Commission of Kansas approved a settlement earlier this month that "assign[ed] directly incurred transmission costs for connecting large-load customers to the specific large-load customer."[15] The Kansas Commission specifically approved the settlement because that provision provided protection "to prevent existing customers from being charged for costs associated with serving the [large load] customers."[16]

These decisions reflect sound exercises of states' authority over retail customers. In the face of the reliability and ratepayer risks that large load interconnections create, state commissions have a responsibility under state law to preserve reliability and protect just and reasonable rates. Any rule that this Commission considers must avoid interference with the states in their role as regulators of retail customers.

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[14] *Pacific Gas & Electric Company*, CPUC Decision No. 25-07-039, at 44 (July 24, 2025), *available at* https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M574/K875/574875643.PDF.
[15] *Evergy Kansas Metro*, at 9.
[16] *Id.* at 10.

II. FERC Must Address Large Load Interconnection Problems Within its Jurisdiction

The ANOPR rightly recognizes that the Federal Power Act gives the Commission jurisdiction over the transmission of electric energy in interstate commerce.[17] Large load interconnections can undermine the reliability of the transmission system and lead to unjust and unreasonable transmission rates. The Commission should act to prevent those outcomes. At the same time, the ANOPR contemplates a more expansive view of FERC's jurisdiction than the Commission has assumed in the past. Accordingly, the Commission must act in a way that does not impinge upon state-jurisdictional matters such as the terms and conditions of retail service.

As the Supreme Court has explained, state and federal spheres of jurisdiction under the Federal Power Act "are not hermetically sealed from each other."[18] Because "the wholesale and retail markets in electricity are inextricably linked," state regulation will inevitably affect matters under federal jurisdiction, and vice versa.[19] For that reason, it is common for this Commission and state commissions to maintain jurisdiction over different aspects of the same problem. In *EPSA*, for example, the Court noted that "[w]holesale demand response . . . is a program of cooperative federalism, in which the States retain the last word."[20] State commissions and FERC likewise have overlapping roles in transmission planning, resource adequacy, and generator interconnections.

ELPC encourages the Commission to follow a cooperative federalism model in its response to large load interconnections. The Commission should make clear that states, as regulators of retail customers, can impose terms and conditions on retail service requests of large load customers. For example, states can require large load customers to pay for their line extension costs and to follow certain procedures to ensure grid reliability (including curtailment or load flexibility

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[17] ANOPR at ¶ 16.
[18] *FERC v. Electric Power Supply Assoc'n*, 577 U.S. 260, 281 (2016) ("EPSA")
[19] *Id.* at 265.
[20] *Id.* at 288.

mechanisms). At the same time, the Commission can act to protect just and reasonable transmission rates and the reliability of the transmission system.

III. Conclusion

ELPC appreciates the Commission's consideration of this important issue. We encourage the Commission to advance the ANOPR toward a proposed rule that respects the role of the states as described above.

Respectfully submitted,

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